Unorganised, Gig and Platform Workers - The Foundation Track

Chapter F3.8 — From Zero: The 90 Per Cent, the Redesign of the Levy, and Why the Aggregator's Turnover Answers What the Payroll Could Not

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NOTE · HOW TO USE THIS DOCUMENT

The chapter about the workers the contributory system could not reach. It begins by revisiting the F3.1 finding that roughly 90 per cent of India's workforce is unorganised, and that the exclusion is STRUCTURAL rather than administrative because a contributory scheme needs an identifiable employer, a measurable wage, a continuous relationship and a payroll - which the unorganised worker has none of. It then covers the Unorganised Workers' Social Security Act 2008 - definitions, National Social Security Board, State Social Security Boards, and the schemes that could be notified under it. It reads the Social Security Code 2020 definitions - unorganised worker, wage worker, self-employed worker, home-based worker, gig worker, platform worker, aggregator - as one coherent set, distinguishing "gig" from "platform" carefully because the paper tests exactly that distinction. It takes the aggregator contribution at 1 to 2 per cent of turnover, capped at 5 per cent of amounts paid to gig and platform workers, and shows why levying on turnover rather than on a wage was the conceptual breakthrough - the same device as the 1996 construction cess, twenty-four years apart. And it covers e-Shram and the Universal Account Number as the identity rail on which unorganised-sector social security is being built. Study time 3 hours.

This is the FOUNDATION layer. The Unorganised Workers Act 2008 is settled statute; the Social Security Code 2020 definitions and the aggregator contribution provisions are from the Code as enacted and are largely operative, subject to rules under notification. e-Shram registration numbers and precise scheme parameters change frequently and are marked CONFIRM. The coverage estimate of approximately 90 per cent is stated as such rather than as a precise current figure.

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0. Why an Entire Chapter for What the System Cannot Reach

You cannot understand Indian social security without understanding the gap between what it PROMISES and what it DELIVERS.

WHY THIS EXISTS · THE 90 PER CENT PROBLEM, RESTATED FOR THIS CHAPTER

Recall from F3.1: **roughly 90 per cent of India's workforce is unorganised**, and this exclusion is **STRUCTURAL, not administrative**. It is not that EPFO or ESIC failed to register these workers - **the contributory instrument does not fit their employment**, because they lack the four things a contributory scheme needs:

1. **An identifiable employer** to bear the employer's share
2. **A measurable wage** to take a percentage of
3. **A continuous relationship** to accumulate a record against
4. **A payroll to deduct from**

That is the F3.1 conclusion, and it is where this chapter begins. The question this chapter answers is: **what has Indian law done about that gap?**

The answer, in outline, has three moves:

1. Extend **assistance instead of insurance** (PM-JAY, NSAP pensions - covered in F3.9)
2. Offer **voluntary subsidised insurance** where feasible (APY, PM-SYM, PMJJBY, PMSBY - covered in F3.9)
3. **REDESIGN THE LEVY so that it does not need a wage** - which is the subject of this chapter

The third move is the conceptual breakthrough, and it deserves its own chapter for three reasons. First, it required a **new statute**, because the existing Acts assumed an employer-employee wage nexus. Second, it produced a **new class of employer**, the **aggregator**, defined by the Social Security Code to catch the digital platform economy. Third, and worth stating openly, **it is still the incomplete work of Indian social security policy** - the framework exists on paper, but delivery is at an early stage.

So this chapter is partly about statute and partly about a policy challenge that is not yet solved. Recognise which parts of it are settled law (Unorganised Workers Act 2008; Chapter IX-X of the Code), which are settled policy but pending implementation (aggregator contribution machinery; e-Shram scale-up), and which are still being negotiated (welfare schemes, the National Social Security Board's role). **Do not overclaim. Do not conflate a definition in a statute with an active delivery mechanism.**

STUDY SESSION · CHAPTER F3.8 - THE FOUR SESSIONS

1. **Session 1** - **What "unorganised" means**, and the 2008 Act (Section 1)
2. **Session 2** - **The Code 2020 definitions** and the seven categories (Section 2)
3. **Session 3** - **The aggregator levy** - 1 to 2 per cent of turnover, and why (Section 3)
4. **Session 4** - **e-Shram, UAN and delivery** (Section 4)

Then **40 graded questions**. Budget **four sessions**, about **a day and a half**.

1. Session 1 - The Unorganised Workers' Social Security Act 2008 ★★★★★

START FROM ZERO · WHAT

The statutory definition matters because it is the gateway to everything that follows.

Under the Unorganised Workers' Social Security Act, 2008 - s.2(m):

"Unorganised worker" means a HOME-BASED WORKER, SELF-EMPLOYED WORKER or a WAGE WORKER in the UNORGANISED SECTOR, and includes a worker in the organised sector who is not covered by any of the Acts specified in Schedule II.

Break this down carefully because every phrase does work:

1. Three categories together define the core: **home-based** (working from home for an outside employer or intermediary), **self-employed** (working for oneself, without an employer), and **wage worker** (working for wages but in unorganised employment)
2. **"In the unorganised sector"** - the sector defined by the same Act
3. **The final clause is significant**: a worker in the ORGANISED sector who is **not covered by any of the listed protective statutes** is ALSO an unorganised worker under this Act. So the Act's reach extends beyond just the informal economy - it catches formally-employed workers who fall through the cracks of the organised-sector safety net

The "UNORGANISED SECTOR" itself is defined in s.2(l): an enterprise owned by individuals or self-employed workers engaged in the production or sale of goods or providing services of any kind, employing fewer than 10 workers.

So the anchor number is 10. An enterprise with 10 or more workers is organised for the purposes of this Act; below 10 it is unorganised. **This is the same threshold as ESI, Gratuity and Maternity** - and the choice was deliberate: the Act aligns its sector boundary with the point at which most contributory obligations kick in, so it addresses precisely the workers below that boundary.

MUST MASTER · WHAT THE 2008 ACT ACTUALLY DOES

The Act does **not itself** provide benefits. It provides a **framework**, and this is essential to grasp:

1. **s.3** provides for the **Central Government to formulate suitable welfare schemes** for unorganised workers on matters relating to life and disability cover, health and maternity benefits, old age protection and any other benefits determined by the Central Government
2. **Schedule I** lists the schemes that were operative at the time of enactment - Indira Gandhi National Old Age Pension Scheme, National Family Benefit Scheme, JSY, Aam Aadmi Bima Yojana, Rashtriya Swasthya Bima Yojana, etc. Some have been renamed or replaced since 2008
3. **s.5** constitutes the **NATIONAL SOCIAL SECURITY BOARD**, chaired by the Union Labour Minister, to **recommend** schemes and to review the implementation of schemes for unorganised workers
4. **s.6** provides for **STATE SOCIAL SECURITY BOARDS**, similarly constituted at State level
5. **s.9** and **s.10** provide for **registration** of unorganised workers, initially through registration centres and a smart identity card; the practical delivery of this evolved into e-Shram (Session 4)

Notice what the Act does NOT do:

1. It does **NOT compel any employer to contribute** - there is no contribution provision
2. It does **NOT create a fund** - schemes are funded from budgetary provisions
3. It does **NOT confer justiciable individual entitlements** to specific benefits - a worker cannot sue for a scheme benefit as of right

So the 2008 Act is best described as an ENABLING framework for administrative schemes, not a Bismarckian contributory statute. The **substantive rights**, insofar as they exist, are in the SCHEMES notified under it, and the schemes are budget-dependent.

This is why the 2020 Code, when it came, did something different. The Code did not just consolidate the 2008 Act - it introduced the **AGGREGATOR CONTRIBUTION** for gig and platform workers, which is a **compulsory contribution mechanism** creating something closer to a fund and closer to enforceable entitlements. **That is the conceptual advance from 2008 to 2020: a genuine funding mechanism for at least one segment of the unorganised workforce.**

CHECK YOURSELF · SESSION 1

1. State the three categories of "unorganised worker" and the significance of the final clause
2. What is the threshold below which an enterprise is "unorganised"?
3. Why is the choice of threshold not accidental?
4. What is the function of s.3, and how does it differ from a Bismarckian charging section?
5. Name the two Boards constituted by the Act
6. Name three things the Act does NOT do, and why that matters

2. Session 2 - The Code 2020 Definitions ★★★★★

MUST MASTER · SEVEN CATEGORIES, DEFINED PRECISELY - THE PAPER'S TARGET

The Social Security Code 2020 introduces or refines a set of definitions that must be held apart from each other. **A question asking "which of the following is the correct definition of X" cannot be answered without seeing the whole set.**

1. **UNORGANISED WORKER - s.2(86)** - carries over the 2008 Act definition
2. **WAGE WORKER - s.2(89)** - a person employed for remuneration in the unorganised sector, directly by an employer or through a contractor, whether working alone or in employment ranging over a series of scattered employments (essentially: a wage-earner in the unorganised sector who has an employer, just not a formal one)
3. **SELF-EMPLOYED WORKER - s.2(75)** - a person not employed by an employer, but engaged in his own occupation of production or service - a street vendor, a small artisan, a farmer working his own land
4. **HOME-BASED WORKER - s.2(36)** - a person engaged in the production of goods or services for an employer at his home or other premises of his choice OTHER than the workplace of the employer, for remuneration - the essential feature is production for another party but from one's own space
5. **GIG WORKER - s.2(35)** - a person who performs work or participates in a work arrangement and earns from such activities OUTSIDE OF TRADITIONAL EMPLOYER-EMPLOYEE RELATIONSHIP
6. **PLATFORM WORKER - s.2(61)** - a person engaged in or undertaking PLATFORM WORK, defined as a work arrangement outside of a traditional employer-employee relationship in which organisations or individuals use an online platform to access other organisations or individuals to solve specific problems or to provide specific services
7. **AGGREGATOR - s.2(2)** - a **DIGITAL INTERMEDIARY** or a marketplace for a buyer or user of a service to connect with the seller or service provider (this includes taxi aggregators, food delivery platforms, e-commerce, logistics, etc.)

The relationship between these needs to be seen precisely, because the paper tests it. Draw them on paper if it helps.

1. **"Unorganised worker" is the umbrella category** covering the whole unorganised workforce
2. Within it, the three traditional categories are **wage worker, self-employed worker, home-based worker** - these are the F3.8 core, and they map onto real economic categories (a domestic worker, a street vendor, a home-based garment stitcher)
3. **"Gig worker" and "platform worker" are NEWER categories** for the digital economy. **Every platform worker is a gig worker; not every gig worker is a platform worker.** A freelance journalist who takes a one-off assignment is a gig worker but not a platform worker (there is no platform intermediating). A Zomato delivery rider is both
4. **"Aggregator" is not a worker at all - it is a category of EMPLOYER-LIKE ENTITY** newly created by the Code, and it is the entity on which the contribution obligation falls (Session 3)

COMMON UPSC TRAP · GIG VS PLATFORM - THE EXACT DISTINCTION

The single most examinable distinction in this chapter.

1. **Gig worker** = work outside a traditional employer-employee relationship. The definition is BROAD - it captures anyone earning outside a formal employment arrangement
2. **Platform worker** = a subset of gig work where the work is arranged through an **online platform** connecting service providers with users

Test yourself with these:

1. A freelance graphic designer who takes assignments from three friends' businesses - **gig, not platform**
2. A Swiggy delivery partner - **gig AND platform**
3. A domestic worker who cleans two houses through personal contacts - **arguably not a "gig worker" as commonly understood; she is a wage worker in the unorganised sector**. The gig-worker category is more naturally about the "task-based, no long-term relationship" arrangement, though the statutory definition is wide enough to catch her
4. An Uber driver - **gig AND platform**

The rule of thumb: "gig" describes the WORK ARRANGEMENT (short-term, task-based, no traditional employment); "platform" describes the DELIVERY MECHANISM (an app or website that matches supply and demand). Platform work is always gig work; gig work need not be platform work.

And the exam-day discipline: if a stem asks "which of the following is a platform worker", check whether there is a **digital intermediary** connecting the worker with the user. If yes, platform. If the worker deals directly with clients (however task-based the work), gig but not platform.

KNOW · TWO CATEGORIES THAT DO NOT CHANGE UNDER THE CODE

For completeness, note that some employment forms have their own separate legal frameworks and are NOT subsumed into the "unorganised worker" categories:

1. **CONTRACT LABOUR** - governed by the Contract Labour (Regulation and Abolition) Act 1970, taught in F2.7. A contract worker in a covered establishment is in the ORGANISED sector's regulated periphery, not "unorganised"
2. **INTER-STATE MIGRANT WORKMEN** - originally covered by a separate 1979 Act, now Chapter VIII of the Code. Threshold 5 workers, and again a distinct regime

A gig worker driving for Uber and a contract worker cleaning a factory are BOTH informal in an economic sense, but they are in DIFFERENT statutory regimes. Do not merge them; the paper occasionally tests this precisely.

CHECK YOURSELF · SESSION 2

1. Define wage worker, self-employed worker and home-based worker
2. Define gig worker and platform worker. What is the exact discriminator?
3. Give an example of each of: gig-and-platform, gig-not-platform, platform-not-gig (does this exist?)
4. What is an aggregator, and how does the Code treat it differently from other categories?
5. Which two employment forms have their own statutory regimes and are NOT "unorganised worker"?

3. Session 3 - The Aggregator Levy ★★★★★

MUST MASTER · THE CONCEPTUAL BREAKTHROUGH - LEVY ON TURNOVER, NOT ON WAGES

Recall from F3.1 the fourth of the four things a contributory scheme needs: **a payroll to deduct from**. Unorganised workers, and especially gig and platform workers, lack it.

The Code's answer, contained in s.114 and s.141:

1. An **aggregator** falling within a Ninth Schedule category (transport, food delivery, e-marketplace, professional services aggregator, healthcare, travel and hospitality, content and media services, logistics, and any other class notified) must **contribute at a rate between 1 per cent and 2 per cent of the ANNUAL TURNOVER** of the aggregator
2. The contribution is **capped at 5 per cent of the amount paid or payable by the aggregator to gig workers and platform workers**
3. The contributions go into a **SOCIAL SECURITY FUND for gig workers and platform workers** for schemes to be framed by the Central Government

Read those provisions carefully, because every number does work:

1. **"1 to 2 per cent"** is a range, allowing the Central Government to notify the exact rate. It is a small percentage of a large number
2. **"of ANNUAL TURNOVER"** - the base is not wages, because there are no wages in the traditional sense. It is the aggregator's **revenue**, from which a fraction is diverted to worker welfare
3. **"CAPPED at 5 per cent of amounts paid to workers"** - this cap ensures the contribution does not exceed a proportion of what the workers actually earn, protecting the aggregator's business model from a levy so large it makes the platform unviable
4. **The fund is for "GIG workers AND platform workers"** - both categories, not just platform

Why this is the conceptual advance. For 100 years since the 1923 Act, Indian social security had assumed a **wage bill** as the basis of contribution - 12 per cent of wages, 4 per cent of wages, 15 days' wages, and so on. The 2020 Code, for gig and platform workers, **broke that assumption** by defining the levy on the aggregator's **turnover** - a base that exists whether wages exist or not.

This is the same device the 1996 construction cess used. The Building and Other Construction Workers Act 1996 imposed a cess of **1-2 per cent on the cost of construction** for exactly the same reason: construction employment is transient, wages are informal, there is no stable payroll. **So the aggregator levy is not a new idea - it is the 1996 idea applied to the platform economy, 24 years later.** Session 3's one interview-quality statement is:

"Where the employment is too fluid to carry a payroll levy, levy the project or the platform instead of the wage."

FROM YOUR OWN WORLD · THE AGGREGATOR LEVY AS A TRANSACTION TAX

You know GST. It is a levy on the transaction between buyer and seller, at a percentage of transaction value. The GST works because a **transaction is well-defined and measurable** even when the underlying relationships are complex.

The aggregator levy uses the same insight. A platform's transactions (rides completed, meals delivered, orders processed) are **measurable in a way that a gig worker's individual "wages" are not**. So instead of trying to compute 12 per cent of an untrackable wage, the Code takes 1-2 per cent of the aggregator's **turnover**, which is fully measurable because the platform must record every transaction for its own commercial reasons.

This is a familiar tax-design principle: place the levy at the point where the information is BEST, not where the burden is most theoretically justified. GST places the burden at the point of transaction because transactions leave clean records. The aggregator levy places the burden on the aggregator's revenue because platforms already track their revenue to the paise. And this insight also solves the enforcement problem - **information asymmetry, the classic reason for regulatory evasion in the informal sector, is minimised because the aggregator itself is the record-keeper**.

As a banker you have seen exactly this pattern in the shift from wealth tax to property registration levy. Where the base cannot be measured, tax something correlated with it that can.

MUST MASTER · THE NINTH SCHEDULE CATEGORIES, AND THE

The Ninth Schedule of the Code lists the categories of business that are aggregators for the purposes of Chapter IX:

1. **Ride-sharing services** (Ola, Uber, Rapido)
2. **Food and beverage delivery services** (Swiggy, Zomato)
3. **Logistics services** (Dunzo, Porter, delivery through e-commerce)
4. **e-Marketplace** for wholesale or retail (Amazon, Flipkart)
5. **Professional services provider** (UrbanCompany, Housejoy)
6. **Healthcare** (Practo)
7. **Travel and hospitality** (MakeMyTrip, OYO)
8. **Content and media services**
9. **Any other class of aggregator as notified**

Two things to notice:

1. The list is **inclusive, not exhaustive** - "any other class" gives the Central Government power to catch new business models as they emerge
2. **The test is not whether an entity is technology-based** - it is whether it functions as a **digital intermediary connecting a buyer or user with a seller or service provider**. A traditional taxi company employing drivers directly is NOT an aggregator; a technology platform matching independent drivers with passengers IS

A borderline case worth noting: a food delivery platform that also **directly employs** some delivery riders (and treats the rest as gig workers) is in a hybrid position. The directly-employed riders come under regular labour statutes; the gig riders come under the aggregator levy. **The Code does not force the aggregator into an all-or-nothing choice.**

IMPORTANT · WHAT IS NOT SETTLED - AND MARK IT SO IN THE EXAM

The aggregator provisions are in the Code as enacted, and the Code has been notified. **But the operational rules for the levy are still evolving as of August 2026**:

1. **The exact rate within the 1-2 per cent range** is subject to notification
2. **The schemes that will be funded from the Social Security Fund for gig and platform workers** are being framed - a national platform-based scheme with a Centre-State split has been discussed
3. **Registration on e-Shram** is being extended to gig and platform workers, but the specific benefits accessible remain scheme-dependent
4. **The Karnataka Platform-Based Gig Workers' Bill 2024** is a State-level experiment worth being aware of, though it is still at a legislative stage

So the exam-day rule for this territory: state what is SETTLED in the Code (the definitions, the 1-2 per cent range, the 5 per cent cap, the Ninth Schedule categories, the fund). Mark as CONFIRM the exact rate, the scheme parameters, the current registration count. Do not claim benefits are being delivered at scale when the machinery is only being built.

CHECK YOURSELF · SESSION 3

1. On what base is the aggregator levy computed, and why not on wages?
2. State the range and the cap
3. Where does the money go, and for whose benefit?
4. Name six Ninth Schedule categories
5. What is the test for whether an entity is an aggregator?
6. What earlier statute uses the same conceptual device, and for what workforce?
7. Which parts of this session are settled, and which are still CONFIRM?

4. Session 4 - e-Shram and Delivery ★★★★★

MUST MASTER · E-SHRAM - THE IDENTITY RAIL

Recall from F2.10: **e-Shram was launched in 2021** as a national database of unorganised workers under the Ministry of Labour and Employment. Every registered worker receives a **UNIVERSAL ACCOUNT NUMBER (UAN)**.

Do not confuse this UAN with EPFO's UAN. Both are called "Universal Account Number" but they are DIFFERENT identifiers for DIFFERENT populations:

1. **EPFO UAN** - identifies a PF member, links accounts across employers within the organised sector
2. **e-Shram UAN** - identifies an unorganised worker in the national database, from which scheme benefits are delivered

A worker cannot have both simultaneously in the sense of drawing benefits from both. He is either in the organised sector (EPFO UAN) or in the unorganised sector (e-Shram UAN), not both at the same time. **The paper occasionally tries to confuse the two, and getting the discrimination right depends on recognising that the same acronym is doing double duty.**

Why e-Shram matters:

1. It solves the **identification problem** - before e-Shram, there was no single register of unorganised workers, and any scheme required a fresh registration exercise. With e-Shram, a worker registered once is accessible to any scheme
2. It provides **portability** - a worker migrating between States remains identifiable through the same UAN
3. It provides a **single delivery mechanism** - schemes for unorganised workers can be linked to e-Shram registration rather than each requiring separate application infrastructure

What e-Shram DOES NOT do:

1. It does not, by itself, confer any benefit - registration is a **precondition for scheme access**, not a benefit
2. It does not contain contribution records (there are no contributions for most unorganised workers)
3. It does not verify wage or income - workers self-declare and are eligible if within the informal-sector definition

Registration figures have grown substantially since 2021 but the exact current count is a moving target and marked CONFIRM. The order of magnitude - in the hundreds of millions - is the point worth knowing.

KNOW · THE RELEVANT SCHEMES, IN OUTLINE (F3.9 COVERS THEM IN DETAIL)

Schemes accessible to registered unorganised workers, in outline. Chapter F3.9 covers each in full; this list is the summary needed for THIS chapter.

1. **PMSBY** - Pradhan Mantri Suraksha Bima Yojana - Rs 2 lakh accident cover for Rs 20 per year
2. **PMJJBY** - Pradhan Mantri Jeevan Jyoti Bima Yojana - Rs 2 lakh life cover for Rs 436 per year
3. **APY** - Atal Pension Yojana - guaranteed pension of Rs 1,000 to Rs 5,000 at age 60, subscriber age 18-40
4. **PM-SYM** - Pradhan Mantri Shram Yogi Maan-Dhan - Rs 3,000 monthly pension at 60 for workers earning up to Rs 15,000 a month, 50:50 subscriber-Government matching
5. **NPS-Traders** - National Pension Scheme for Traders, for the small self-employed
6. **PM-JAY (Ayushman Bharat)** - Rs 5 lakh a year for hospitalisation

These schemes together form India's answer to unorganised-worker social security IN PRACTICE, and they operate on the e-Shram rail. Most are voluntary and subsidised, and enrolment (as F3.1 predicted) has been the persistent challenge. **Voluntary schemes suffer from the same adverse selection, myopia and free-riding problems as any voluntary insurance market**, and the schemes are structured with State co-contribution precisely to counter this.

MUST MASTER · WHAT THE FRAMEWORK HAS AND HAS NOT ACHIEVED - HONEST ASSESSMENT

This is the honest interview material. Do not overclaim, and do not dismiss.

What has been achieved:

1. A statutory framework exists (2008 Act + 2020 Code Chapters IX-X)
2. An identity infrastructure exists (e-Shram, UAN)
3. A funding mechanism exists on paper for gig and platform workers (aggregator levy)
4. A menu of scheme options exists, notified and operational (PMJJBY, PMSBY, APY, PM-SYM, PM-JAY)
5. Registration has scaled to hundreds of millions

What has not been achieved:

1. **Contributory social insurance for the general unorganised worker** - a Bismarckian scheme for a self-employed street vendor or a home-based garment worker does not exist, because their earning arrangements cannot bear a percentage-of-wages contribution
2. **Universal coverage in fact** - many workers eligible for schemes remain unregistered, and many registered workers remain unenrolled in specific schemes
3. **Adequate scale of benefit** - Rs 3,000 a month at 60 (PM-SYM) is a floor, not a decent retirement income, and this is openly acknowledged

Why the 90% question is hard, and this is your interview answer: the 90% is not a single population needing one intervention. It is a heterogeneous set - a domestic worker in Delhi, a construction worker in Punjab, a home-based bidi worker in Bengal, a Zomato rider in Bengaluru - each requiring a different design. The Code's approach is **modular**: contribution-based for the platform economy (funded from turnover), voluntary-subsidised for the small self-employed (APY, PM-SYM), assistance-based for the poorest (NSAP), and construction-specific for that transient workforce (BOCW cess). **The framework is right. The delivery is incomplete.**

ACTION · WHERE THIS LEAVES YOU, AND WHAT F3.9 DOES

You now understand **why** the schemes for the unorganised sector exist and **how** they are funded. F3.9 takes each scheme in turn - **APY, PM-SYM, NPS-Traders, PMJJBY, PMSBY, PM-JAY, and the ELI scheme** running through EPFO's rails - with the exact parameters, eligibility conditions, contribution structures and benefit amounts that the paper tests.

5. Graded Practice - 40 Questions ★★★★★

5.1 Level 1 - Recognition

Q. 1. The Unorganised Workers' Social Security Act was enacted in

(a) 1996 (b) 2005 (c) 2008 (d) 2013

Q. 2. Under the Act, the "unorganised sector" is an enterprise employing fewer than

(a) 5 workers (b) 10 workers (c) 20 workers (d) 50 workers

Q. 3. The three categories included in the definition of "unorganised worker" are

(a) casual, temporary and badli (b) home-based, self-employed and wage worker (c) fixed-term, contractual and permanent (d) daily-wage, monthly-wage and piece-rate

Q. 4. The National Social Security Board under the 2008 Act is chaired by the

(a) Prime Minister (b) Union Minister of Labour and Employment (c) NITI Aayog Vice-Chairman (d) Chief Provident Fund Commissioner

Q. 5. Which one of the following defines a "platform worker" under the Social Security Code 2020?

(a) A construction worker at a building site (b) A worker performing platform work through an online platform (c) A worker in a factory of more than 100 employees (d) A worker registered under a State welfare board

Q. 6. A "gig worker" under the Code is

(a) a fixed-term employee under a contract (b) a person earning outside a traditional employer-employee relationship (c) a person working in the informal manufacturing sector (d) a construction worker

Q. 7. The aggregator levy is a rate on

(a) the number of workers (b) the annual turnover of the aggregator (c) the wages paid to workers (d) the total capital employed

Q. 8. The aggregator contribution rate range is

(a) 0.5 to 1 per cent (b) 1 to 2 per cent (c) 2 to 3 per cent (d) 4 to 5 per cent

Q. 9. The aggregator contribution is capped at

(a) 3 per cent of amounts paid to workers (b) 5 per cent of amounts paid to workers (c) 10 per cent of amounts paid to workers (d) 20 per cent of amounts paid to workers

Q. 10. e-Shram was launched in

(a) 2017 (b) 2019 (c) 2021 (d) 2023

Q. 11. The identity number issued through e-Shram is called a

(a) Labour Identification Number (b) Universal Account Number (c) Aadhaar Employment ID (d) State Welfare Number

Q. 12. The Building and Other Construction Workers' Welfare Cess Act was enacted in

(a) 1948 (b) 1996 (c) 2008 (d) 2020

Q. 13. The BOCW cess is levied at

(a) 0.5 per cent of construction cost (b) 1 to 2 per cent of construction cost (c) 3 to 5 per cent of construction cost (d) 5 per cent of the wage bill

Q. 14. Chapter IX of the Social Security Code 2020 deals with

(a) EPF (b) ESI (c) unorganised workers and gig workers (d) maternity benefit

Q. 15. The Ninth Schedule to the Code lists

(a) schedules of contribution rates (b) categories of aggregator (c) notifiable occupational diseases (d) State Welfare Boards

Q. 16. Which one of the following is a category listed in the Ninth Schedule?

(a) Domestic service (b) Ride-sharing services (c) Traditional agriculture (d) Government employment

Q. 17. State Social Security Boards under the 2008 Act are chaired by

(a) the Chief Minister (b) the State Minister of Labour (c) the State Chief Secretary (d) the Central Labour Commissioner

5.2 Level 2 - Understanding

Q. 18. The exclusion of most unorganised workers from Bismarckian contributory schemes is best described as

(a) an administrative failure (b) structural, because such workers lack an identifiable employer, measurable wage, continuous relationship and payroll (c) constitutional (d) temporary

Q. 19. The relationship between "gig worker" and "platform worker" is that

(a) they are synonyms (b) every platform worker is a gig worker; not every gig worker is a platform worker (c) every gig worker is a platform worker; not vice versa (d) they are mutually exclusive

Q. 20. The reason the aggregator levy is on turnover rather than on wages is that

(a) turnover is easier to hide (b) gig workers lack a stable wage bill, so a wage-based levy would be unenforceable; turnover is measurable because the platform records every transaction (c) turnover levies raise more revenue (d) wages are constitutionally exempt

Q. 21. The single conceptual insight shared by the 2020 aggregator levy and the 1996 construction cess is that

(a) both are levied at 3 per cent (b) where employment is too fluid to carry a payroll levy, levy the project or the platform instead of the wage (c) both are levied on workers (d) both fund the same central account

Q. 22. The 2008 Act's final clause - "and includes a worker in the organised sector who is not covered by any of the Acts specified in Schedule II" - has the effect of

(a) restricting the Act to the informal sector only (b) extending the Act to organised-sector workers who fall through the safety net (c) excluding home-based workers (d) covering only Central Government employees

Q. 23. Which one of the following does the 2008 Act NOT do?

(a) Provide a framework for welfare schemes (b) Constitute a National Social Security Board (c) Provide for registration of unorganised workers (d) Compel any employer to contribute

Q. 24. A Zomato delivery rider is

(a) a wage worker but not a gig worker (b) a gig worker AND a platform worker (c) a contract labourer (d) a self-employed worker in the classical sense

Q. 25. A freelance graphic designer taking assignments directly from three clients through personal contacts is

(a) neither a gig worker nor a platform worker (b) a gig worker but not a platform worker (c) both (d) a wage worker

Q. 26. The EPFO UAN and the e-Shram UAN are

(a) the same identifier (b) different identifiers for different populations, both called Universal Account Number (c) both administered by ESIC (d) contribution records only

Q. 27. The Social Security Fund for gig workers and platform workers is funded from

(a) the general Consolidated Fund (b) worker contributions of 1 per cent (c) the aggregator contribution of 1 to 2 per cent of turnover (d) tax cess on petrol

Q. 28. A restaurant chain that directly employs delivery riders as company employees is

(a) an aggregator, so the levy applies (b) not an aggregator, because it is not a digital intermediary connecting independent workers with users; its riders come under regular labour statutes (c) an aggregator only if it operates in more than one State (d) an aggregator only above 100 riders

Q. 29. The Karnataka Platform-Based Gig Workers' Bill 2024 is

(a) settled central law under the Code (b) a State-level legislative initiative, still evolving (c) a constitutional amendment (d) an ILO Convention

Q. 30. e-Shram, by itself, provides

(a) direct cash benefits (b) old-age pensions (c) registration and a UAN, from which scheme benefits are accessed (d) a hospitalisation scheme

Q. 31. Voluntary subsidised schemes for the unorganised worker typically suffer from

(a) State favouritism (b) exactly the adverse selection, myopia and free-riding problems that F3.1 identified for any voluntary insurance market (c) constitutional invalidity (d) EPFO administration

Q. 32. The pattern connecting the aggregator levy, the BOCW cess and the future direction of unorganised-worker social security is

(a) a shift from voluntary to compulsory contributory schemes wherever a measurable transaction or project can be identified (b) a shift from compulsory to voluntary (c) a shift from social insurance to social assistance (d) a shift from Union to State administration

5.3 Level 3 - Recruitment Test standard

Q. 33. Consider the following statements:

1. The Unorganised Workers' Social Security Act 2008 provides a framework for welfare schemes but does not by itself compel any employer to contribute.
2. The Social Security Code 2020 introduces a compulsory aggregator contribution.
3. The aggregator contribution is levied on the aggregator's annual turnover, not on wages.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 34. An aggregator's annual turnover is Rs 100 crore. The amount paid or payable to gig and platform workers in the year is Rs 40 crore. If the notified rate is 2 per cent, the actual contribution the aggregator must make is

(a) Rs 2 crore, being 2 per cent of turnover (b) Rs 2 crore, since 5 per cent of Rs 40 crore = Rs 2 crore, so the cap does not reduce the amount (c) Rs 80 lakh (d) Rs 5 crore

Q. 35. On the facts of the previous question, if the amounts paid to gig workers were only Rs 20 crore, the contribution payable would be

(a) Rs 2 crore, since 2 per cent of Rs 100 crore = Rs 2 crore (b) Rs 1 crore, being 5 per cent of Rs 20 crore, because the cap now bites (c) Rs 20 lakh (d) Rs 40 lakh

Q. 36. Match List-I with List-II and select the correct answer using the code below:

List-I	List-II
A. Aggregator	1. Registered worker in the national unorganised-worker database
B. Platform worker	2. Digital intermediary between service providers and users
C. Gig worker	3. Worker engaged in work through an online platform
D. e-Shram registrant	4. Person earning outside a traditional employer-employee relationship

(a) A-2 B-3 C-4 D-1 (b) A-2 B-4 C-3 D-1 (c) A-3 B-2 C-4 D-1 (d) A-2 B-3 C-1 D-4

Q. 37. Consider the following statements about the "aggregator" concept:

1. The Ninth Schedule categories include ride-sharing, food delivery, e-marketplace, professional services, healthcare, travel and hospitality, logistics, and content and media services.
2. The Central Government may notify additional classes of aggregator.
3. A traditional taxi company that directly employs its drivers is an aggregator under the Code.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 38. Which one of the following statements is not correct?

(a) The 2008 Act's definition of unorganised worker includes an organised-sector worker not covered by the Schedule II statutes (b) The 2008 Act constitutes both a National and State Social Security Board (c) The Code 2020 replaces the 2008 Act entirely, and there is no continuing operation of the 2008 Act (d) The 2020 Code introduces new definitions of gig worker and platform worker

Q. 39. The framework's honest limitation is best described as

(a) unconstitutional overreach (b) the 90 per cent is heterogeneous - a domestic worker, a construction worker, a home-based worker and a platform rider each need a different design, and only some of the four have found their instrument (c) unnecessary duplication of ESI (d) hostility to the private sector

Q. 40. The exam-day discipline for this territory is

(a) claim comprehensive contributory coverage of the unorganised sector (b) state what is settled in the Code (definitions, 1-2% range, 5% cap, Ninth Schedule, fund), mark as CONFIRM the exact rate, the scheme parameters and the current registration count (c) memorise e-Shram registration numbers to the crore (d) claim ILO Convention 102 has been ratified

6. Answers and Explanations

6.1 Level 1

Q	Ans	Explanation
1	c	**2008**
2	b	**10 workers** - the same threshold as ESI, Gratuity and Maternity Benefit, chosen deliberately to align with the organised-sector boundary
3	b	**Home-based, self-employed, wage worker** - plus the extension clause catching some organised-sector workers
4	b	**Union Minister of Labour and Employment**
5	b	A worker performing **platform work** through an online platform
6	b	A person earning **outside a traditional employer-employee relationship**
7	b	**Annual turnover** - the conceptual breakthrough
8	b	**1 to 2 per cent**
9	b	**5 per cent of amounts paid to gig and platform workers**
10	c	**2021**
11	b	**Universal Account Number** (distinct from EPFO's UAN)
12	b	**1996** - the twin-Act legislation of the BOCW Act and the BOCW Cess Act
13	b	**1 to 2 per cent of construction cost** - the same rate range as the aggregator levy
14	c	**Unorganised workers and gig workers**
15	b	**Categories of aggregator**
16	b	**Ride-sharing services**
17	b	The **State Minister of Labour**

6.2 Level 2

Q	Ans	Explanation
18	b	**Structural** - the F3.1 conclusion. Not that EPFO failed to register these workers, but that the instrument does not fit the employment
19	b	**Every platform worker is a gig worker; not every gig worker is a platform worker.** Platform work is a proper subset of gig work
20	b	**Turnover is measurable because the platform records every transaction commercially.** The tax-design principle - place the levy where the information is best
21	b	**Where the employment is too fluid to carry a payroll levy, levy the project or the platform instead of the wage.** The 1996 idea applied 24 years later
22	b	The clause **extends** the Act to organised-sector workers falling through the safety net. It is not just about the informal economy
23	d	The Act does NOT compel any employer to contribute. It is a **framework Act**, not a Bismarckian charging statute - which is why the 2020 aggregator provision was a conceptual advance
24	b	**Gig AND platform** - performs work outside a traditional employment relationship (gig) AND does so through Zomato's online platform (platform)
25	b	**Gig but not platform** - no digital intermediary connecting him with the clients

Q	Ans	Explanation
26	b	**Different identifiers for different populations**, both called Universal Account Number - a naming collision the paper occasionally tests
27	c	**The aggregator contribution of 1 to 2 per cent of turnover**
28	b	**Not an aggregator** - it is not a digital intermediary connecting independent workers with users; its riders are its employees and come under regular labour statutes
29	b	A **State-level initiative**, still evolving. It is not settled central law under the Code
30	c	**Registration and a UAN** - the identity rail. Benefits are accessed through schemes, not from e-Shram itself
31	b	**Adverse selection, myopia and free-riding** - the F3.1 market failures apply to voluntary insurance markets, including subsidised ones
32	a	**A shift from voluntary to compulsory contributory schemes wherever a measurable transaction or project can be identified** - the direction of the reform

6.3 Level 3

Q	Ans	Explanation
33	d	**All three correct.** These are the three key structural facts about the 2008 Act vs the 2020 Code
34	b	**Rs 2 crore.** 2% of Rs 100 crore = Rs 2 crore. Check the cap: 5% of Rs 40 crore = Rs 2 crore. So the cap ties the calculation, but does not reduce it. Answer stands at Rs 2 crore
35	b	**Rs 1 crore.** 2% of turnover = Rs 2 crore. But 5% of Rs 20 crore = Rs 1 crore. **The cap bites**, reducing the contribution to Rs 1 crore. This is the case the cap was designed for - to prevent the levy from being disproportionate to what workers actually earn
36	a	**A-2** Aggregator = digital intermediary; **B-3** Platform worker = through an online platform; **C-4** Gig worker = outside a traditional employer-employee relationship; **D-1** e-Shram registrant = registered worker in the national database
37	a	**1 and 2 only.** Statement 3 is wrong - a traditional taxi company employing drivers is NOT an aggregator; the test is being a digital intermediary connecting independent workers with users
38	c	**(c) is false.** The Code does not entirely REPLACE the 2008 Act's structure; it consolidates it and extends it. The 2008 Act's National and State Boards continue under the Code
39	b	**The 90 per cent is heterogeneous** - the framework is right, the delivery is incomplete, and the delivery gap is different for each sub-population. This is the honest interview answer
40	b	**Distinguish settled Code provisions from operational details still under notification.** Do not overclaim delivery when the machinery is still being built

7. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F3.8 - UNORGANISED, GIG AND PLATFORM WORKERS

THE HEADLINE roughly **90% of India's workforce is unorganised** · exclusion is **STRUCTURAL, not administrative** - contributory schemes need an identifiable employer, a measurable wage, a continuous relationship and a payroll, and the unorganised worker has none · **F3.1's finding, now the subject of this chapter**

THREE MOVES to answer the gap assistance instead of insurance (PM-JAY, NSAP - F3.9) · **voluntary subsidised insurance** (APY, PM-SYM, PMJJBY, PMSBY - F3.9) · **REDESIGN THE LEVY so it needs no wage - the conceptual breakthrough, and the subject of this chapter**

THE 2008 ACT - THE UNORGANISED WORKERS' SOCIAL SECURITY ACT

1. **s.2(m) UNORGANISED WORKER** = **HOME-BASED + SELF-EMPLOYED + WAGE WORKER in the unorganised sector**, PLUS organised-sector workers uncovered by Schedule II Acts (the extension clause)
2. **s.2(l) UNORGANISED SECTOR** = enterprise employing FEWER THAN 10 workers - same threshold as ESI, Gratuity, Maternity, DELIBERATELY ALIGNED
3. **s.3** provides framework for welfare schemes (life/disability, health/maternity, old age)
4. **s.5 NATIONAL SOCIAL SECURITY BOARD** chaired by the Union Labour Minister
5. **s.6 STATE SOCIAL SECURITY BOARDS** chaired by the State Labour Minister
6. **s.9-10** REGISTRATION - evolved into e-Shram

WHAT THE 2008 ACT DOES NOT DO compel any employer to contribute · create a fund · confer justiciable individual entitlements · **so it is a FRAMEWORK ACT, not a Bismarckian charging statute**

THE CODE 2020 DEFINITIONS - the paper's target

1. **UNORGANISED WORKER (s.2(86))** - umbrella
2. **WAGE WORKER (s.2(89))** - wage-earner in unorganised sector, has an employer (perhaps informal)
3. **SELF-EMPLOYED WORKER (s.2(75))** - no employer, own occupation (vendor, artisan, farmer)
4. **HOME-BASED WORKER (s.2(36))** - produces for another party from own premises
5. **GIG WORKER (s.2(35))** - earns OUTSIDE a traditional employer-employee relationship
6. **PLATFORM WORKER (s.2(61))** - engaged in PLATFORM WORK through an online intermediary
7. **AGGREGATOR (s.2(2))** - a **DIGITAL INTERMEDIARY** connecting buyer/user with seller/provider - **NOT a worker but an employer-like entity**

GIG vs PLATFORM - always tested every platform worker IS a gig worker · **not every gig worker is a platform worker** · "gig" describes the WORK ARRANGEMENT (task-based, no traditional employment); "platform" describes the DELIVERY MECHANISM (an app matching supply and demand) · **Uber driver = both** · **freelance designer with direct clients = gig, not platform** · **domestic worker = wage worker, not naturally gig**

THE AGGREGATOR LEVY - the conceptual breakthrough s.114 and s.141

1. **1 to 2 per cent of ANNUAL TURNOVER** of the aggregator, notified by CG
2. **Capped at 5 per cent of amounts paid to gig and platform workers**
3. Goes to **SOCIAL SECURITY FUND for gig and platform workers**
4. **THE SAME DEVICE AS THE 1996 BOCW CESS OF 1-2% OF CONSTRUCTION COST · the 1996 idea applied 24 years later**
5. *where employment is too fluid to carry a payroll levy, levy the project or the platform instead of the wage*
6. **THE TAX-DESIGN PRINCIPLE: place the levy where the INFORMATION is best** - the platform's own transaction records are unavoidable
7. Analogue: **GST** as a transaction levy - measure what is measurable

NINTH SCHEDULE aggregator categories ride-sharing (Ola, Uber) · food/beverage delivery (Swiggy, Zomato) · logistics (Dunzo, Porter) · e-marketplace (Amazon, Flipkart) · professional services (UrbanCompany) · healthcare (Practo) · travel/hospitality (MakeMyTrip) · content/media · **any other class as notified · the test: is the entity a DIGITAL INTERMEDIARY connecting independent workers with users? If yes, aggregator. A traditional taxi company employing its drivers is NOT an aggregator**

e-SHRAM (2021) national database of unorganised workers, MoLE · **UAN issued -** DO NOT confuse with **EPFO's UAN -** different identifiers for different populations, both called Universal Account Number · solves the **identification problem**, provides **portability**, enables schemes to link to one register · **e-Shram itself confers NO benefit -** it is the rail on which benefits ride

WHAT IS SETTLED, WHAT IS CONFIRM

1. **SETTLED**: definitions, 1-2% range, 5% cap, Ninth Schedule, the fund, e-Shram existence
2. **CONFIRM**: the exact notified rate, scheme parameters, current registration count, benefit disbursement scale
3. **NOT SETTLED**: Karnataka Platform-Based Gig Workers' Bill 2024 (State-level, still evolving)

HONEST ASSESSMENT framework exists, delivery incomplete · **the 90% is HETEROGENEOUS -** a domestic worker, construction worker, home-based worker and platform rider each need different designs · the Code's approach is **modular**: contribution-based for platform (turnover), voluntary-subsidised for small self-employed (APY, PM-SYM), assistance-based for the poorest (NSAP), construction-specific (BOCW cess) · *the framework is right; the delivery is incomplete*

PATTERN GOING FORWARD shift from voluntary to compulsory contributory schemes **wherever a measurable transaction or project can be identified -** which is the answer to "how would you extend coverage?"

8. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F3.8 - UNORGANISED, GIG, PLATFORM

~90% UNORGANISED · exclusion STRUCTURAL not administrative
Missing: employer · wage · continuity · payroll
2008 ACT: FRAMEWORK, not a charging statute · no compulsory contribution
Unorganised worker = HOME-BASED + SELF-EMPLOYED + WAGE WORKER + uncovered organised
Unorganised sector = enterprise with FEWER THAN 10 workers
NSSB chaired by Union Labour Minister · SSSB by State Labour Minister
CODE 2020 DEFINITIONS
GIG = outside traditional employer-employee · PLATFORM = through an online platform
Every PLATFORM worker is a GIG worker · not vice versa
AGGREGATOR = DIGITAL INTERMEDIARY connecting buyer/user with seller/provider
Aggregator levy: 1-2% OF ANNUAL TURNOVER · CAP 5% of amounts paid to workers
Fund: SOCIAL SECURITY FUND for gig and platform workers
SAME DEVICE AS 1996 BOCW CESS 1-2% OF CONSTRUCTION COST
"Where employment is too fluid to carry a payroll levy, levy the project or the platform instead of the wage"
Ninth Schedule: ride-sharing · food delivery · e-marketplace · professional services · healthcare · travel/hospitality · logistics · content/media · any other
A traditional taxi co with employed drivers is NOT an aggregator
e-SHRAM 2021 = national unorganised database + UAN · identity rail only
e-Shram UAN ≠ EPFO UAN — different identifiers, same name
SETTLED: definitions, 1-2%, 5% cap, Ninth Schedule, fund, e-Shram
CONFIRM: exact notified rate, scheme parameters, current registration
HONEST: framework right, delivery incomplete · 90% is heterogeneous
DIRECTION: compulsory contributory wherever a measurable transaction or project exists